

Tentative Rulings for August 7, 2026 Department PS1

**To request oral argument, you must notify Judicial Secretary
Carol Delfosse-Kidd at (760) 904-5722
and inform all other counsel no later than 4:30 p.m.**

This court follows California Rules of Court, Rule 3.1308 (a) (1) for tentative rulings (see Riverside Superior Court Local Rule 3316). Tentative Rulings for each law & motion matter are posted on the Internet by 3:00 p.m. on the court day immediately before the hearing at [Riverside Superior Court-Tentative Rulings](#). If you do not have Internet access, you may obtain the tentative ruling by telephone at (760) 904-5722.

To request oral argument, no later than 4:30 p.m. on the court day before the hearing you must (1) notify the judicial secretary for Department PS1 at (760) 904-5722 and (2) inform all other parties of the request and of their need to appear remotely, as stated below. If no request for oral argument is made by 4:30 p.m., the tentative ruling **will become the final ruling** on the matter effective the date of the hearing. **UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.**

COUNSEL AND SELF-REPRESENTED PARTIES ARE ENCOURAGED TO APPEAR AT ANY LAW AND MOTION DEPARTMENT TELEPHONICALLY WHEN REQUESTING ORAL ARGUMENTS.

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You may also make a Telephonic Appearance: On the day of the hearing, call into one of the below listed phone numbers, and input the meeting number (followed by #):

- Call-in Numbers: 1-833-568-8864 (Toll Free), 1-669-254-5252,
1-669-216-1590, 1-551-285-1373 or 1-646-828-7666
- Meeting Number: **160 520 9376**

Please **MUTE** your phone until your case is called and it is your turn to speak. It is important to note that you must call fifteen (15) minutes prior to the scheduled hearing time to check in or there may be a delay in your case being heard.

Riverside Superior Court provides official court reporters for hearings on law and motion matters only for litigants who have been granted fee waivers and only upon their timely request. (See General Administrative Order No. 2021-19-1) Other parties desiring a record of the hearing must retain a reporter pro tempore.

1.

CASE #	CASE NAME	HEARING NAME
CVPS2504351	MCDONALD, AN INDIVIDUAL, VS WALTER FAMILY PARTNERSHIP, A CALIFORNIA LIMITED PARTNERSHIP	MOTION TO COMPEL FURTHER RESPONSES TO SPECIAL INTERROGATORIES, SET TWO FROM PLAINTIFF ELIZABETH MCDONALD BY WALTER FAMILY PARTNERSHIP, A CALIFORNIA LIMITED PARTNERSHIP

Tentative Ruling: No tentative ruling. Motion was vacated and case dismissed by Defendant.

2.

CASE #	CASE NAME	HEARING NAME
CVPS2504351	MCDONALD, AN INDIVIDUAL, VS WALTER FAMILY PARTNERSHIP, A CALIFORNIA LIMITED PARTNERSHIP	MOTION TO COMPEL PLAINTIFF'S FURTHER RESPONSES TO REQUESTS FOR ADMISSIONS, SET TWO BY WALTER FAMILY PARTNERSHIP, A CALIFORNIA LIMITED PARTNERSHIP

Tentative Ruling: No tentative ruling. Motion was vacated and case dismissed by Defendant.

3.

CASE #	CASE NAME	HEARING NAME
CVPS2504351	MCDONALD, AN INDIVIDUAL, VS WALTER FAMILY PARTNERSHIP, A CALIFORNIA LIMITED PARTNERSHIP	MOTION TO COMPEL PLAINTIFF'S FURTHER RESPONSES TO REQUESTS FOR PRODUCTION OF DOCUMENTS, SET TWO BY WALTER FAMILY PARTNERSHIP, A CALIFORNIA LIMITED PARTNERSHIP

Tentative Ruling: No tentative ruling. Motion was vacated and case dismissed by Defendant.

4.

CASE #	CASE NAME	HEARING NAME
CVPS2507346	LAWSON VS GENERAL MOTORS LLC	MOTION FOR ATTORNEYS FEES BY GREGORY E. LAWSON

Tentative Ruling: The parties do not dispute that Plaintiff is the prevailing party under this Song-Beverly Act case. This Act contains a mandatory fee-shifting provision. Under Civil Code section 1794(d), "If the buyer prevails in an action under this section, the buyer **shall** be allowed by the court to recover as part of the judgment a sum equal to the aggregate amount of costs and expenses, including attorney's fees based on actual time expended, determined by the court to have been *reasonably incurred* by the buyer in connection with the commencement and prosecution of such action." (Emphasis added.) Thus, Plaintiff is entitled to fees under this provision. The only question to be determined by this motion is the amount of the award to Plaintiff.

The matter of reasonableness of a party's attorney fees is within the discretion of the trial court. (*Bruckman v. Parliament Escrow Co.* (1989) 190 Cal.App.3d 1051, 1062.) Fee motions should be based on detailed time records. (*Crespin v. Shewry* (2004) 125 Cal.App.4th 259, 271.) The records should detail crucial information as the types of issues involved, services performed, numbers of hours, billing rates, etc. (*Martino v. Denevi* (1986) 182 Cal.App.3d 553, 559.) The court is then entitled to make its own evaluation of the reasonable worth of the work done in light of the nature of the case and the credibility of counsel's declaration, unsubstantiated by time records and billing statements. (See *Weber v. Langholz* (1995) 39 Cal.App.4th 1578, 1587; see also *Bernardi v. County of Monterey* (2008) 167 Cal.App.4th 1379, 1394.)

In determining the reasonable amount of attorney fees, the court first determines a lodestar figure (time reasonably spent by each biller multiplied by an hourly rate that is reasonable for each biller). (*Serrano v. Priest* (1977) 20 Cal.3d 25, 48.) In exercising its discretion, the court may consider all of the facts and the entire procedural history of the case in setting the amount of a reasonable attorney fee award. (*Bernardi, supra*, 167 Cal.App.4th 1379, 1394; see also *PLCM Group, supra*, 22 Cal.4th at 1096 (factors considered in determining the reasonableness of a party's attorney fees include the nature of the litigation, its difficulty, the amount involved, the skill required in its handling, the skill employed, the attention given and the success or failure).) The court does not need expert testimony to determine the reasonable amount of a fee award. (*PLCM Group, supra*, 22 Cal.4th at 1095.)

Hourly Rates:

Plaintiff seeks hourly rates ranging from \$375 to \$700 for 5 attorneys: \$625 for Daghighian; \$700 for Rosenstein; \$550 for Shippen-Murray; \$525 for Ortiz; and \$375 for Kousherian. (Daghighian Decl., ¶¶ 7-11.) A "reasonable" hourly rate is the prevailing rate charged by attorneys of similar skill and experience in the relevant community. (*PLCM Group, Inc. v. Drexler* (2000) 22 Cal.4th 1084, 1095.) Plaintiff supports the requested rates with counsel's declarations, rate surveys, and prior fee orders. (Daghighian Decl., ¶¶ 13-26 & Exhs. B-O.) Defendant proposes lower rates (between \$250 and \$350 per hour) but does not submit affirmative evidence establishing that its proposed rates reflect prevailing market rates for comparable consumer-warranty litigation. Based on the court's own experience, the hourly rates requested are excessive. (*EnPalm, LLC v. Teitler* (2008) 162 Cal.App.4th 770, 774 (the court may rely on its own experience in determining whether the hourly rate sought or hours spent in the matter are reasonable).) The below rates reasonably account for counsel's experience and specialized consumer-warranty practice and are in line with what Riverside courts typically award in these lemon law cases.

Time Entries:

Defendant challenges certain billing entries as duplicative, inefficient, inflated, or attributable to boilerplate work. However, Defendant identifies several entries without providing a specific analysis as to why each challenged entry was unreasonable. In particular, Defendant argues that a 1.09.26 initial-disclosure-related entry was duplicative of another entry recorded that same day but has not shown how these tasks duplicated one another rather than constituted related work performed on the same date.

Plaintiff seeks an additional 5 hours for the reply and 2.5 hours for hearing preparation and appearance. A reply was filed but counsel did not submit evidence

documenting the actual time spent on such. The court will allow 1 hour for the reply and 0.5 hour for hearing preparation and appearance. Daghighian's hours are reduced from the estimated reply time of 5 hours to 1 hour and the estimated hearing time from 2.5 hours to 0.5 hour.

The remaining challenged entries reflect reasonable case evaluation and deposition preparation work.

Timekeeper	Original Hours	Adjusted Hours	Adjusted Rates	Total
Daghighian	12.1	6.1	\$525	\$3,202.50
Kousherian	7.7	7.7	\$375	\$2,887.50
Murray	3.9	3.9	\$350	\$1,365
Ortiz	0.7	0.7	\$325	\$227.50
Rosenstein	2.4	2.4	\$550	\$1,320
Total:		20.8		\$9,002.50

Multiplier:

The court declines to apply either a positive or negative multiplier. The action settled within seven months without contested motions, expert discovery, vehicle inspection, or trial preparation. The purpose of the lodestar enhancement is "to bring financial incentives for attorneys enforcing important constitutional rights...into line with incentives they have to undertake claims for which they are paid on a fee-for-services basis." (*Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1132.) The party seeking the enhancement has the burden of proof. (*Id.* at 1138.) "[A] trial court should award a multiplier for exceptional representation only when the quality of representation far exceeds the quality of representation that would have been provided by an attorney of comparable skill and experience billing at the hourly rate used in the lodestar calculation. Otherwise, the fee award will result in unfair double counting and be unreasonable." (*Id.* at 1138.) Here, this was not a complicated case. There was limited law and motion presented.

Costs:

Civil Code §1794(d) permits the court to award reasonably incurred costs and expenses. The Legislature intended the use of "costs and expenses" to include items excluded under CCP §1033.5. (*Jensen v. BMW of North America, Inc.* (1995) 35 Cal.App.4th 112, 137-138; accord *Warren v. Kia Motors America, Inc.* (2018) 30 Cal.App.5th 24, 42-43.) Plaintiff did *not* file a cost memorandum but identified the expense and purpose in counsel's declaration and invoice. (Daghighian Decl., Ex. A.) Defendant does not oppose Plaintiff's request for \$2,205 in costs. These costs appear to be reasonably incurred.

Plaintiff's Motion for Attorney's Fees, Costs and Expenses GRANTED in PART.

Plaintiff awarded Fees in the amount of \$9,002.50 + costs of \$2,205 for Total of \$11,207.50.

5.

CASE #	CASE NAME	HEARING NAME
CVPS2508295	LITTLE VS ROCKET CLOSE, LLC	MOTION TO STRIKE CROSS- COMPLAINT OF OAKTREE FUNDING CORPORATION

Tentative Ruling: A motion to strike is governed by CCP §§ 435 and 436. Under section 436, the Court may strike from any pleading any irrelevant, false, or improper matter, or any part of a pleading not drawn in conformity with the laws of California, a court rule, or an order of the court. (CCP § 436.) The Court reads the challenged allegations in context, accepting well-pleaded facts as true for purposes of the motion. (*Clauson v. Sup. Ct.* (1998) 67 Cal.App.4th 1253, 1255.) The moving party bears the burden of demonstrating that the targeted matter is irrelevant, false, improper, or legally deficient on the face of the pleading and any matters subject to judicial notice. (CCP § 437.)

Paragraph 28 Denial of Concealment Characterization:

Paragraph 28 alleges that “nowhere” in Plaintiff’s filings has she denied concealing the Resnick Loan and that “an allegation to the contrary cannot be found” in her Second Amended Complaint (“SAC”) or any other filing. (Cross-Compl. ¶ 28.) Plaintiff’s December 23, 2025, supplemental declaration, filed in this Court’s record, contains sworn statements that she informed the mortgage broker of the family loan, did not withhold or conceal information, and that assertions of nondisclosure are factually incorrect. (Pl.’s Reply Binder, Ex. T at ¶ 12.) Because a document in this Court’s own file facially states that Plaintiff “did not withhold or conceal” the family loan, paragraph 28’s categorical assertion that “nowhere” in her filings has she denied concealment is objectively overbroad as a description of the filed record. The Court is not asked to accept the truth of Plaintiff’s denials, only that a denial exists on the face of the record. (See *Richtek USA, Inc. v. uPI Semiconductor Corp.* (2015) 242 Cal.App.4th 651, 658.) Paragraph 28 is an evidentiary support allegation, not an ultimate fact necessary to state fraud.

Paragraphs 25, 27, 49 Active Intentional Concealment Bullet, and 51 Concealment Language:

Plaintiff seeks to strike “concealed,” “concealment,” and the “Active Intentional Concealment” bullet as false or improper matter. A fraud by concealment theory requires concealment of a material fact, a duty to disclose, intent to defraud, causation, and damages. (*Boschma v. Home Loan Ctr., Inc.* (2011) 198 Cal.App.4th 230, 248.) California recognizes such claims by lenders induced to fund a loan by borrower concealment of material facts. (*Alliance Mortgage Co. v. Rothwell* (1995) 10 Cal.4th 1226, 1237, 1249–50.)

In the Cross-Complaint, Oaktree alleges actual knowledge, execution of the Resnick Deed of Trust before a notary, omission from the Application, certifications of truth and completeness, and nondisclosure during underwriting. (Cross-Compl. ¶¶ 13, 22, 25, 27, 51.) On those pleaded facts, “concealed” functions as a characterization of ultimate facts, not mere argumentative language. That the deed was publicly recorded does not make “concealed” facially false. The theory is not that Plaintiff hid the county records, but that she omitted a known encumbrance while submitting a supposedly complete application.

The “Active Intentional Concealment” bullet in paragraph 49 is likewise supported by alleged affirmative acts—*i.e.*, signed certifications and negative answers to specific

Application questions—rather than mere silence. (*Id.* at ¶ 49.) To the extent Plaintiff argues the pleaded facts ultimately fail to support concealment, that is a demurrer argument, not a proper section 436 strike ground.

Paragraph 7 Statute of Limitations:

Paragraph 7 alleges on information and belief that Plaintiff and/or ROES 1–10 concealed or misrepresented facts and that such conduct results in “a tolling, or an estoppel, or a waiver” of any applicable statute of limitations. (Cross-Compl. ¶ 7.) That is a legal conclusion. To invoke tolling based on delayed discovery or concealment, the pleader must specifically allege “the time and manner of discovery” and “the inability to have made earlier discovery despite reasonable diligence.” (*Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 808.) Tolling, equitable estoppel, and waiver are distinct doctrines requiring distinct factual predicates; conclusory collective invocation without specific supporting facts for each doctrine is insufficient. (*Lantzy v. Centex Homes* (2003) 31 Cal.4th 363, 383; CCP § 360.5.) Paragraph 7 does not plead the time and manner of discovery, does not allege the separate elements of equitable estoppel or waiver, and is improperly collective as to “[Plaintiff] and/or ROES 1–10.” (Cross-Compl. ¶ 7.)

Paragraphs 45, 54, and Prayer Paragraph 1 Damages Amount:

Plaintiff seeks to strike the phrase “which as of April 21, 2026, exceed \$755,215.46, which amount increases daily.” (Cross-Compl. ¶¶ 45, 54, Prayer ¶ 1.) A defrauded lender’s tort damages are ordinarily measured by actual out-of-pocket loss—the difference between what the lender gave and the actual value of what it received—not automatically the gross funded principal. (*Alliance Mortgage, supra*, 10 Cal.4th at 1240.) The only loan amount alleged in the Cross-Complaint is the original principal of \$716,580. (Cross-Compl. ¶ 10.) Oaktree does not explain the basis for \$755,215.46 or the source of the “increases daily” language (*i.e.*, whether unpaid balance, accrued contractual interest at a stated rate, etc.).

Prayer Paragraph 3 Attorney Fees:

Attorney fees are not recoverable absent a contractual, statutory, or other authorizing basis. (*Carr Business Enterprises, Inc. v. City of Chowchilla* (2008) 166 Cal.App.4th 14, 19; *see also* CCP § 1021.) Civ. Code § 1717, which authorizes an award of attorney fees to a prevailing party, applies only to actions “on a contract,” and a tort action for fraud arising out of a contract is not within section 1717. (*Santisas v. Goodin* (1998) 17 Cal.4th 599, 615; *Douglas E. Barnhart, Inc. v. CMC Fabricators, Inc.* (2012) 211 Cal.App.4th 230, 237.) Deed-of-trust protective-advance language materially similar to Uniform Covenant 8 in Oaktree’s Deed of Trust authorizes fees to be added to the secured debt, not awarded as a separate attorney fee judgment. (*Chacker v. JPMorgan Chase Bank, N.A.* (2018) 27 Cal.App.5th 351, 357; Oaktree’s RJN, Ex. 1.) The Cross-Complaint pleads only tort causes of action and does not identify any contractual or statutory fee basis on its face. While Oaktree references Uniform Covenants 4, 7, and 8 and Non-Uniform Covenant 21 in its opposition, it fails to demonstrate how these provisions allow for a separate award of attorney fees, as established in *Chacker*. Additionally, it does not show that any of the cited clauses are broad enough under CCP § 1021 to apply to tort claims.

Paragraph 56 and Prayer Paragraph 5 Punitive Damages:

A punitive damages prayer requires nonconclusory ultimate facts satisfying Civ. Code § 3294. (*Clauson, supra*, 67 Cal.App.4th at 1255.) Section 3294(c)(3) defines fraud as “intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention . . . of [] depriving a person of property or legal rights or otherwise causing injury.” (Civ. Code § 3294(c)(3).) The Cross-Complaint alleges that Plaintiff (1) omitted the \$393,000 Resnick Loan from the Application; (2) signed the Application under a federal criminal penalty acknowledgment certifying truth and completeness; (3) had actual knowledge of the Resnick Loan and Deed of Trust because she signed it before a notary; and (4) previously stated she specifically asked whether the family loan lien appeared on title because she understood she would not be approved if it did. (Cross-Compl. ¶¶ 9, 12, 22, 23, 25.) Those allegations map onto section 3294(c)(3) with sufficient factual specificity.

Plaintiff’s Request for Judicial Notice Exhibits A and B GRANTED.

Defendant Oaktree’s Request for Judicial Notice Exhibits 1 and 2 GRANTED.

Plaintiff’s Motion to Strike GRANTED in PART.

Motion to Strike as to Paragraph 28 GRANTED without leave to amend.

Motion to Strike paragraph 7; the phrase “which as of April 21, 2026, exceed \$755,215.46, which amount increases daily” in paragraphs 45, 54 and paragraph 1 of the Prayer; and paragraph 3 of the Prayer GRANTED with leave to amend. Defendant Oaktree to file an amended Cross-Complaint within 15 days.

Motion to Strike paragraphs 25, 27, 49, 51, 56 and paragraph 5 of the Prayer DENIED.

6.

CASE #	CASE NAME	HEARING NAME
CVPS2508295	LITTLE VS ROCKET CLOSE, LLC	HEARING RE: DEMURRER ON CROSS-COMPLAINT OF OAKTREE FUNDING CORPORATION AS TO CAUSE(S) OF ACTION AND MOTION TO STRIKE CAUSES OF ACTION NEGLIGENT MISREPRESENTATION FRAUD / CONCEALMENT

Tentative Ruling: Before filing a demurrer or motion to strike, the moving party must meet and confer in person, by telephone, or by videoconference with the opposing party for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised. (CCP §§ 430.41(a), 435.5(a), 2016.040(a).)

Here, Plaintiff’s meet and confer declarations state only that she “met and conferred in writing with Oaktree’s counsel” (Little Decl. [Demurrer] ¶ 3), and that on June 16, 2026, she “sent written meet-and-confer correspondence to Oaktree’s counsel.” (Little

Decl. [MTS] ¶ 3.) Neither declaration reflects any meet and confer conducted in person, by telephone, or by videoconference. Thus, Plaintiff did not satisfy the requirements of section 430.41(a) and 435.5(a). However, the court addresses the merits of the motion below.

A demurrer may be taken if a pleading is “uncertain” (meaning “ambiguous and unintelligible”), or if it “does not state facts sufficient to state a cause of action.” (CCP § 430.10(e), (f).) Although a special demurrer for uncertainty is generally “disfavored” (*Chen v. Berenjian* (2019) 33 Cal.App.5th 811, 822), it may be sustained “where the complaint is so bad that defendant cannot reasonably respond—*i.e.*, he or she cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him or her.” (Weil & Brown, Cal. Prac. Guide Civ. Pro. Before Trial Ch. 7(I)-A at ¶ 7:84 [citing *Khoury v. Maly’s of Cal., Inc.* (1993) 14 Cal.App.4th 612, 616].)

A general demurrer, on the other hand, “test[s] the legal sufficiency of a complaint.” (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) On demurrer, the court must liberally construe the complaint in the plaintiff or cross-complainant’s favor. (CCP § 452.) “This rule of liberal construction means that the reviewing court draws inferences favorable to the plaintiff, not the defendant.” (*Perez v. Golden Empire Transit Dist.* (2012) 209 Cal.App.4th 1228, 1238.) A demurrer “admit[s] all the properly pleaded material facts” and “even the most improbable alleged facts” are accepted as true. (*Nolte v. Cedars-Sinai Med. Ctr.* (2015) 236 Cal.App.4th 1401, 1406.) However, the court does not “assume the truth of contentions, deductions or conclusions of law.” (*Aubry v. Tri-City Hosp. Dist.* (1992) 2 Cal.4th 962, 967 [internal citations omitted].)

Negligent Misrepresentation 1st Cause of Action:

The elements of negligent misrepresentation are: “(1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another’s reliance on the fact misrepresented, (4) justifiable reliance on the misrepresentation, and (5) resulting damage.” (*Tindell v. Murphy* (2018) 22 Cal.App.5th 1239, 1252.) Because negligent misrepresentation is in the fraud family, it must be pleaded with specificity, including the who, what, when, where, and how of the alleged misrepresentation. (*Lazar v. Sup. Ct.* (1996) 12 Cal.4th 631, 645.)

“The tort of negligent misrepresentation requires a positive assertion and does not apply to implied misrepresentations.” (*Stockton Mortgage, Inc. v. Tope* (2014) 233 Cal.App.4th 437, 458–59 [internal quotation omitted]; see also *Lopez v. Nissan N. Am., Inc.* (2011) 201 Cal.App.4th 572, 596 [“A negligent misrepresentation claim ‘requires a positive assertion,’ not merely an omission.”].)

In reviewing a demurrer, the court may “look to exhibits attached to the complaint for operative facts. [Citation.] And because the ‘allegations that [courts] accept as true necessarily include the contents of any exhibits attached to the complaint, . . . in the event of a conflict between the pleading and an exhibit, the facts contained in the exhibit take precedence over and supersede any inconsistent or contrary allegations in the pleading.’” (*Nealy v. Cnty. of Orange* (2020) 54 Cal.App.5th 594, 596–97 [internal quotation omitted].)

Plaintiff demurs to the first cause of action for negligent misrepresentation, arguing that Oaktree fails to plead the essential elements—*i.e.*, misrepresentation (positive assertion), justifiable reliance, causation, and damages.

Misrepresentation/Positive Assertion element:

Oaktree alleges that on or about May 6, 2025, Plaintiff executed and submitted the Application to Oaktree seeking a \$716,580 loan secured by a Deed of Trust against the Property. (Cross-Compl. ¶ 9.) Plaintiff signed the Application directly under an acknowledgment that “it is a federal crime . . . to knowingly make any false statements” and certified that “[t]he information I have provided in this application is true, accurate and complete as of the date I signed this application,” and that “[t]he Lender . . . may rely on the information contained in the application.” (*Id.* at ¶¶ 9, 12, Ex. 1.) Plaintiff further acknowledged that “[a]ny intentional or negligent misrepresentation of information may result in the imposition of . . . civil liability . . . including monetary damages.” (*Id.* at ¶ 12.)

Oaktree alleges that Plaintiff “concealed and failed to disclose” the \$393,000 Resnick Loan, which was secured by the Resnick Deed of Trust recorded against the Property in second priority lien position. (*Id.* at ¶ 13.) Oaktree approved and funded the loan based on the Application, intended and required the Oaktree Deed of Trust to be recorded in second priority lien position, and would not have funded the loan had it known the Oaktree Deed of Trust could not be recorded in second position. (*Id.* at ¶¶ 10–11.) The Resnick Deed of Trust was dated December 6, 2024, and recorded on or about December 19, 2024, approximately five months before Plaintiff submitted the Application. (*Id.* at ¶¶ 20, 22.) Because the Resnick Deed of Trust was recorded before Oaktree’s loan closed, it occupied the second priority lien position Oaktree required, leaving the Oaktree Deed of Trust to record at best in third priority. (*Id.* at ¶ 21.)

Oaktree characterizes Plaintiff’s Application responses in Sections 2c, 4b, 5a, and 5b as “affirmative false statements” concealing the Resnick Loan. Plaintiff contends that the actual language of the Application (attached as Exhibit 1 to the Cross-Complaint) does not encompass the Resnick Loan and that her responses are either literally true or responsive to questions that did not require its disclosure. As discussed above, the actual text of Exhibit 1 governs over Oaktree’s characterization. (*Nealy, supra*, 54 Cal.App.5th at 596–97.) A review of each section shows as follows:

Section 2c expressly states: “List all liabilities below (**except real estate**) and include deferred payments.” (Cross-Compl. ¶ 9, Ex. 1 [emphasis added].) As Plaintiff argues, this language excludes any real estate liabilities, including the Resnick Loan (a \$393,000 obligation secured by a deed of trust on real property), from required disclosure. Thus, Plaintiff’s omission of the Resnick Loan from this section was not a false statement.

Section 4b asks about “Other **New Mortgage Loans** on the Property You are Buying or Refinancing,” within a section titled “Loan and Property Information” whose fine print states, “This section asks about the loan’s purpose and the property you want to **purchase or refinance**.” (*Id.* [emphasis added].) The Resnick Deed of Trust was recorded December 19, 2024, approximately five months before the Application. It was not a “new” mortgage loan being originated in connection with the Oaktree transaction. Thus, Plaintiff’s answer of “Does not apply” is not an affirmative false statement, as the question, by its plain terms, does not encompass a preexisting recorded encumbrance.

Section 5a(E) asks: “Will this property be subject to a lien that could **take priority over the first mortgage lien**, such as a clean energy lien paid through your property taxes (e.g., the Property Assessed Clean Energy Program)?” (*Id.* [emphasis added].) This question concerns super priority liens (such as tax liens or PACE liens), not a competing second position deed of trust. The Resnick Deed of Trust sits *behind* the first mortgage. It does not “take priority over” it. Thus, Plaintiff’s “No” answer is not a false statement.

Section 5b(F) asks: “Are you a **co-signer or guarantor** on any debt or loan that

is not disclosed on this application?” (*Id.*) Plaintiff was the *primary borrower* on the Resnick Loan, as she signed the promissory note and deed of trust as the obligor, not as a co-signer or guarantor for another person’s debt. Thus, Plaintiff’s “No” answer is not a false statement.

Because Plaintiff’s answers were either true or responsive to questions that did not encompass the Resnick Loan, they do not constitute positive assertions of material fact as required for negligent misrepresentation. At most, Oaktree alleges a pure omission, but negligent misrepresentation requires an affirmative statement, not a failure to volunteer information. (*Lazar, supra*, 12 Cal.4th at 645.)

Oaktree’s strongest remaining argument is that Plaintiff certified the Application was “true, accurate, and complete,” and that this certification itself constitutes a positive assertion of completeness. (Cross-Compl. ¶ 9, Ex. 1.) However, a certification that “this application is complete” does not transform an omission into a positive assertion where the form’s own instructions did not call for the information. Thus, the positive assertion element of negligent misrepresentation is not satisfied.

Because the first element is not met, the Court does not address the remaining elements of justifiable reliance, causation, and damages, as they are not sufficient to sustain the demurrer.

Fraud 2nd Cause of Action:

The elements of fraud are: “(1) a misrepresentation (false representation, concealment, or nondisclosure), (2) scienter or knowledge of its falsity, (3) intent to induce reliance, (4) justifiable reliance, and (5) resulting damage.” (*Lazar v. Sup. Ct.* (1996) 12 Cal.4th 631, 638.) Fraud must be pleaded with specificity, including how, when, where, to whom, and by what means the representations were tendered. (*Id.* at 645.)

Plaintiff demurs to the second cause of action for fraud, arguing that Oaktree fails to plead the essential elements—*i.e.*, false representation, either through an affirmative false statement or through intentional concealment, justifiable reliance, causation, and damages.

Affirmative Misrepresentation:

To the extent Oaktree’s fraud claim rests on affirmative false answers in the written Application, the “exhibit controls” doctrine analysis is dispositive. As discussed in connection with the first cause of action, a review of the actual Application language in Exhibit 1 demonstrates that none of the four cited sections required disclosure of the Resnick Loan:

- Section 2c expressly excludes real estate liabilities;
- Section 4b asks only about new mortgage loans originated in connection with the current transaction;
- Section 5a(E) concerns liens that would take priority over the first mortgage (super priority liens), not competing junior liens; and
- Section 5b(F) concerns co-signer or guarantor status, not a borrower’s own direct obligations.

(Cross-Compl. ¶ 9, Ex. 1; *Nealy, supra*, 54 Cal.App.5th at 596–97.) Because Plaintiff’s answers were either true or responsive to questions that did not encompass the Resnick Loan, they do not constitute affirmative false representations with the particularity required by fraud pleading standards. (*Lazar, supra*, 12 Cal.4th at 645.)

Concealment:

To the extent Oaktree's claim rests on suppression or concealment, a threshold duty to disclose is essential. A concealment claim is distinct from an affirmative misrepresentation claim and requires a threshold duty to disclose. (*Blickman Turkus v. MF Downtown Sunnyvale* (2008) 162 Cal.App.4th 858, 868.) A duty to disclose may arise where: (1) the defendant has **exclusive knowledge** of material facts not known to the plaintiff; (2) the defendant **actively conceals** a material fact; or (3) the defendant makes **partial representations** that are misleading without the omitted fact. (*Id.*) Each duty theory must be independently supported by facts. (*Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311.) Exclusive knowledge exists only where the fact is "known or accessible only" to the defendant and not within the reach of the plaintiff's diligent attention and observation. (*Lingsch v. Savage* (1963) 213 Cal.App.2d 729, 735.) Each theory of duty is discussed below:

Exclusive Knowledge:

The Resnick Deed of Trust was recorded on December 19, 2024, months before the May 2025 Application. (Oaktree's RJN, Ex. 2.) Recordation gives constructive notice under Civ. Code §§ 1213 and 1215. On the facts currently alleged, the recorded encumbrance substantially undercuts the theory that the Resnick Loan was "known or accessible only" to Plaintiff. (*Lingsch, supra*, 213 Cal.App.2d at 735.)

Active Concealment:

The pleaded conduct is omission—i.e., not listing the Resnick Loan in the Application and not disclosing it during the loan process. (Cross-Compl. ¶¶ 13, 26.) Those are nondisclosures, not affirmative acts of hiding. Active concealment requires affirmative acts of hiding, not mere omission. (*Lingsch, supra*, 213 Cal.App.2d at 734.) Relabeling omission as "active concealment" is insufficient without additional specific allegations of affirmative conduct designed to prevent discovery.

Partial Disclosure:

This theory depends entirely on whether the specific Application sections actually required disclosure of the Resnick obligation. If a section did not call for that information, omission does not create a misleading partial disclosure. As discussed above, Section 2c excludes real estate liabilities, Section 4b asks only about "new" mortgage loans, Section 5a(E) concerns super priority liens, and Section 5b(F) concerns co-signer or guarantor status. (Cross-Compl. ¶ 9, Ex. 1.) On the present face of the record, Plaintiff's answers do not constitute partial representations that were misleading without disclosure of the Resnick Loan.

Because neither the affirmative misrepresentation nor any concealment duty theory is adequately pleaded, the first element of fraud is not met. The Court does not address the remaining elements of scienter, reliance, causation, or damages, as they are not sufficient to sustain the demurrer.

Special Demurrer for Uncertainty:

Plaintiff demurs to the entire Cross-Complaint on the ground of uncertainty under CCP § 430.10(f). Because the demurrer to the first and second causes of action is sustained under section 430.10(e), the Court need not separately address the special demurrer for uncertainty under section 430.10(f). In any event, the Cross-Complaint is not

“so incomprehensible that a defendant cannot reasonably respond” (*A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 695 [internal quotation omitted]), as demonstrated by Plaintiff’s detailed review of each section.

Plaintiff’s Request for Judicial Notice Exhibits A-C GRANTED.

Plaintiff’s General Demurrer to Defendant Oaktree’s Cross-Complaint SUSTAINED as to the 1st and 2nd Causes of Action, with leave to amend. Defendant Oaktree to file an amended Cross-Complaint within 15 days.

Plaintiff’s Special Demurrer to Defendant Oaktree’s Cross-Complaint for uncertainty is MOOT.

7.

CASE #	CASE NAME	HEARING NAME
CVPS2508295	LITTLE VS ROCKET CLOSE, LLC	HEARING RE: MOTION FOR PROTECTIVE ORDER

Tentative Ruling:

Defendants Rocket Close, LLC and Rocket Companies, Inc. Motion for Protective Order is GRANTED.

Plaintiff is limited 35 Requests for Admission, specifically those identified as “Set Four-Request Nos. 1-35”. Dated 7.16.26

Plaintiff is limited to 35 Special Interrogatories, specifically those identified as “Set Five-Special Interrogatory Nos. 1-35”. Dated 7.16.26.

Next court date are the demurrers and motions to strike as to the Third Amended Complaint by Defendants Oaktree and Rocket Companies, to be heard together on 9.15.26.